

THE CO-OPERATIVE BANK OF KENYA LIMITED

The Board of Directors is pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2015

I STATEMENT OF FINANCIAL POSITION

	GROUP				BANK			
	30-Jun-15 KShs. '000 (Un-audited)	31-Mar-15 KShs. '000 (Un-audited)	31-Dec-14 KShs. '000 Audited	30-Jun-14 KShs. '000 (Un-audited)	30-Jun-15 KShs. '000 (Un-audited)	31-Mar-15 KShs. '000 (Un-audited)	31-Dec-14 KShs. '000 Audited	30-Jun-14 KShs. '000 (Un-audited)
A ASSETS								
1 Cash (local and foreign)	7,508,556	7,939,069	9,455,086	7,096,063	7,179,341	7,512,572	8,970,240	6,853,075
2 Balances due from Central Bank of Kenya	15,315,765	28,619,246	14,880,245	13,410,681	12,868,445	26,801,751	13,954,693	12,268,529
3 Kenya Government and other securities held for dealing purposes	30,009	30,009	30,009	30,009	30,009	30,009	30,009	30,009
4 Financial Assets at fair value through profit and loss	508	509	559	511	508	509	501	511
5.a.a Investment Securities: Held to Maturity - Kenya Government Securities	28,752,567	26,560,480	24,643,526	20,617,445	28,582,094	26,560,480	24,460,192	20,407,188
5.a.b Investment Securities: Held to Maturity - Other Securities	-	169,010	-	-	-	-	-	-
5.b.a Investment Securities: Available for Sale - Kenya Government Securities	21,397,003	18,323,995	16,068,108	20,383,353	21,397,003	18,323,995	15,960,083	20,383,353
5.b.b Investment Securities: Available for Sale - Other Securities	5,064,507	4,576,593	5,072,361	4,588,175	5,064,507	4,576,593	5,072,361	4,588,175
6 Deposits and balances due from local banking institutions	6,808,967	6,180,334	7,847,333	6,438,796	6,568,800	6,080,860	7,845,769	6,104,820
7 Deposits and balances due from banking institutions abroad	10,440,630	11,343,894	4,963,526	4,776,316	10,440,630	11,329,272	4,969,092	4,741,507
8 Tax recoverable	3,932	-	-	3,655	-	-	-	-
9 Loans and advances to customers (net)	204,839,981	184,089,408	179,486,355	165,759,035	203,407,985	183,139,637	178,978,586	165,600,406
10 Balances due from banking institutions in the group	-	-	207,361	-	-	-	207,361	-
11 Investments in associates	1,993,781	1,996,075	1,907,722	1,812,241	755,118	755,118	755,118	755,118
12 Investments in subsidiary companies	-	-	-	-	1,955,869	1,936,199	1,806,449	1,748,494
13 Investment in joint ventures	-	-	-	-	-	-	-	-
14 Investment in properties	-	-	-	-	-	-	-	-
15 Property, plant and equipment	10,370,416	10,502,975	10,078,698	9,932,424	8,732,242	9,077,483	9,253,832	8,703,019
16 Prepaid lease rentals	37,570	37,570	38,180	37,570	37,570	37,570	38,180	37,570
17 Intangible assets	1,240,822	1,210,158	1,712,901	2,788,764	1,104,238	1,183,258	1,363,210	2,485,961
18 Deferred tax asset	614,297	618,629	618,629	66,554	609,156	609,156	609,156	56,113
19 Retirement benefit asset	-	-	-	-	-	-	-	-
20 Other assets	10,657,474	7,412,702	8,386,078	8,930,483	10,265,444	6,892,323	8,414,876	8,737,356
21 TOTAL ASSETS	325,076,787	309,610,656	285,396,067	266,672,685	318,998,960	304,846,787	282,689,098	263,501,814
B LIABILITIES								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customer deposits	248,347,164	233,850,015	217,698,323	199,243,875	244,891,356	231,376,252	216,174,313	198,114,365
24 Deposits and balances due to local banking institutions	4,394,016	4,149,169	3,159,444	4,089,298	4,394,016	4,149,169	3,159,444	4,089,298
25 Deposits and balances due to banking institutions abroad	13,257	41,042	-	41,195	13,257	41,042	82,282	41,195
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	18,677,184	18,363,757	18,269,487	13,577,791	18,677,184	18,363,757.36	18,269,487	13,577,791
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29 Tax payable	641,113	1,483,402	149,821	420,253	614,873	1,427,339	129,171	413,246
30 Dividends payable	-	-	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-
33 Other liabilities	5,776,061	4,493,545	2,706,082	8,840,736	4,612,597	3,324,893	2,523,282	8,402,283
34 TOTAL LIABILITIES	277,848,795	262,380,931	241,983,157	226,213,148	273,203,282	258,682,452	240,337,979	224,638,177
C SHAREHOLDERS' FUNDS								
35 Paid up/Assigned capital	4,889,317	4,889,317	4,889,317	4,190,844	4,889,317	4,889,317	4,889,317	4,190,844
36 Share premium/(discount)	2,889,789	2,889,789	2,889,789	3,588,262	2,889,789	2,889,789	2,889,789	3,588,262
37 Revaluation reserve	403,407	403,407	439,517	407,035	403,407	403,407	403,407	407,035
38 Retained earnings/Accumulated losses	38,494,581	35,284,058	32,206,653	31,413,544	37,205,161	34,293,988	31,264,373	30,103,788
39 Statutory Loan Loss Reserve	717,844	717,844	718,421	717,844	717,844	717,844	717,844	717,844
40 Other Reserves	(836,394)	(5,842)	(793,356)	(689,166)	(836,394)	(5,842)	(794,062)	(689,166)
41 Proposed dividends	-	2,444,658	2,444,658	-	-	2,444,658	-	-
42 Capital grants	526,554	531,173	535,792	545,030	526,554	531,173	535,792	545,030
43 TOTAL SHAREHOLDERS' FUNDS	47,085,098	47,154,404	43,330,791	40,173,393	45,795,678	46,164,334	42,351,119	38,863,637
43.1 Non-Controlling Interest	142,894	75,321	82,118	286,145	-	-	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	325,076,787	309,610,656	285,396,067	266,672,685	318,998,960	304,846,787	282,689,098	263,501,814

II STATEMENT OF COMPREHENSIVE INCOME

	GROUP				BANK			
	30-Jun-15 KShs. '000 (Un-audited)	31-Mar-15 KShs. '000 (Un-audited)	31-Dec-14 KShs. '000 Audited	30-Jun-14 KShs. '000 (Un-audited)	30-Jun-15 KShs. '000 (Un-audited)	31-Mar-15 KShs. '000 (Un-audited)	31-Dec-14 KShs. '000 Audited	30-Jun-14 KShs. '000 (Un-audited)
1.0 INTEREST INCOME								
1.1 Loans and advances	13,560,507	6,672,634	24,713,355	11,188,210	13,474,274	6,644,802	24,669,606	11,177,532
1.2 Government securities	2,823,749	1,397,737	4,331,262	2,294,774	2,805,268	1,387,850	4,309,901	2,276,815
1.3 Deposits and placements with banking Institutions	299,692	93,176	307,394	168,061	299,692	93,176	287,900	168,061
1.4 Other Interest Income	-	2,196	-	-	-	-	-	-
1.5 Total Interest Income	16,683,949	8,165,743	29,352,011	13,651,045	16,579,234	8,125,828	29,267,406	13,622,408
2.0 INTEREST EXPENSE								
2.1 Customer deposits	4,368,245	2,049,161	5,957,719	3,212,541	4,367,530	2,049,125	5,957,045	3,212,437
2.2 Deposits and placements from banking institutions	37,917	19,326	215,306	40,071	37,917	19,326	206,410	40,071
2.3 Other Interest Expenses	503,509	250,900	1,903,128	468,236	503,509	250,775	1,903,128	468,236
2.4 Total Interest Expenses	4,909,671	2,319,387	8,076,154	3,720,848	4,908,956	2,319,226	8,066,583	3,720,744
3.0 NET INTEREST INCOME/(LOSS)	11,774,278	5,846,356	21,275,858	9,930,198	11,670,278	5,806,602	21,200,823	9,901,664
4.0 NON-INTEREST INCOME								
4.1 Fees and commissions on loans and advances	1,114,083	622,497	2,148,888	1,028,917	1,114,083	622,497	2,148,888	1,028,917
4.2 Other Fees and commissions	3,557,992	1,673,535	6,565,180	3,869,909	3,083,045	1,447,090	5,933,931	3,548,334
4.3 Foreign exchange trading income/(loss)	1,010,897	452,684	1,417,692	921,168	713,210	353,626	1,201,739	760,784
4.4 Dividend income	69,406	-	258,101	54,089	69,406	-	258,101	54,089
4.5 Other income	217,839	121,461	420,044	364,331	214,334	121,461	639,416	364,152
4.6 Total Non-interest income	5,970,216	2,870,177	10,809,905	6,238,414	5,194,078	2,544,674	10,182,074	5,756,276
5.0 TOTAL OPERATING INCOME	17,744,494	8,716,533	32,085,762	16,168,612	16,864,356	8,351,275	31,382,898	15,657,940
6.0 OTHER OPERATING EXPENSES								
6.1 Loan loss provision	667,000	350,000	1,175,598	400,036	667,000	350,000	1,133,519	400,036
6.2 Staff costs	3,863,180	1,888,175	8,438,158	4,037,123	3,633,223	1,785,101	8,060,096	3,868,978
6.3 Directors' emoluments	61,579	14,406	161,129	38,470	43,180	6,537	116,235	23,770
6.4 Rentals charges	660,171	319,291	1,304,859	646,254	585,568	285,186	1,102,060	566,966
6.5 Depreciation charge on property and equipment	976,269	490,583	1,953,657	983,637	894,369	450,523	1,840,599	915,315
6.6 Amortisation charges	181,954	89,106	342,444	144,645	176,632	87,962	304,166	144,645
6.7 Other operating expenses	2,648,540	1,150,396	6,722,174	3,190,792	2,460,651	1,057,944	6,311,493	2,952,927
6.8 Total other operating expenses	9,058,693	4,301,957	20,098,019	9,440,957	8,460,623	4,023,254	18,868,168	8,872,638
7 Profit/(Loss) before tax and exceptional items	8,685,801	4,414,576	11,987,743	6,727,655	8,403,733	4,328,022	12,514,729	6,785,302
8 Exceptional items-Early Retirement Costs	-	-	(1,342,509)	-	-	-	(1,342,509)	-
9 Exceptional items-Share of profit of associate	67,112	88,353	270,976	27,513	-	-	-	-
10 Profit/(Loss) before tax	8,752,912	4,502,930	10,916,210	6,755,168	8,403,733	4,328,022	11,172,221	6,785,302
11 Current tax	2,512,634	1,329,905	3,453,288	2,039,836	2,462,945	1,298,406	3,373,937	2,035,591
12 Deferred tax	-	-	(552,075)	-	-	-	(553,043)	-
13 Profit/(loss) after tax and exceptional items	6,240,278	3,173,025	8,014,997	4,715,331	5,940,788	3,029,615	8,351,326	4,749,711
14.0 OTHER COMPREHENSIVE INCOME:								
14.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	28,128	-	-	-	-	-
14.2 Fair value changes in available-for-sale financial assets	(43,039)	787,513	450,002	566,541	(42,333)	788,219	461,646	104,895
14.3 Revaluation Surplus on property, Plant and Equipment	-	-	-	-	-	-	-	-
14.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
14.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-
15 OTHER COMPREHENSIVE INCOME NET OF TAX	(43,039)	787,513	478,130	566,541	(42,333)	788,219	461,646	104,895
16 TOTAL COMPREHENSIVE INCOME	6,197,239	3,961,244	8,493,127	5,281,872	5,898,455	3,817,835	8,812,972	4,854,607
Basic Earnings per share	1.28	0.65	1.64	1.13	1.22	0.62	1.71	1.13
Diluted Earnings per share	1.28	0.65	1.64	0.96	1.22	0.62	1.71	0.97
Dividend per share	-	-	0.50	-	-	-	0.50	-

III OTHER DISCLOSURES

III OTHER DISCLOSURES		GROUP				BANK			
	30-Jun-15 KShs. '000 (Un-audited)	31-Mar-15 KShs. '000 (Un-audited)	31-Dec-14 KShs. '000 Audited	30-Jun-14 KShs. '000 (Un-audited)	30-Jun-15 KShs. '000 (Un-audited)	31-Mar-15 KShs. '000 (Un-audited)	31-Dec-14 KShs. '000 Audited	30-Jun-14 KShs. '000 (Un-audited)	
1 NON PERFORMING LOANS AND ADVANCES									
a) Gross non-performing loans and advances	8,324,335	7,744,033	7,982,045	6,920,126	8,324,335	7,744,033	7,982,045	6,920,126	
Less									
b) Interest in suspense	183,083	174,673	312,261	492,976	183,083	174,673	312,261	492,976	
c) Total Non-performing loans and advances (a-b)	8,141,252	7,569,360	7,669,784	6,427,150	8,141,252	7,569,360	7,669,784	6,427,150	
Less									
d) Loan loss provisions	2,492,107	2,400,400	2,079,636	2,185,765	2,492,107	2,400,400	2,079,636	2,185,765	
e) Net Non performing loans (c-d)	5,649,145	5,168,960	5,590,148	4,241,385	5,649,145	5,168,960	5,590,148	4,241,385	
f) Discounted Value of Securities	5,649,145	5,168,960	5,590,148	4,241,385	5,649,145	5,168,960	5,590,148	4,241,385	
g) Net NPLs Exposure (e-f)	-	-	-	-	-	-	-	-	
2 Insider loans and advances									
a) Directors, shareholders and associates	246,342	242,375	232,807	210,276	246,342	242,375	232,807	210,276	
b) Employees	6,687,384	6,713,375	6,602,831	6,630,136	6,687,384	6,713,375	6,602,831	6,630,136	
c) Total insider loans, advances and other facilities	6,933,726	6,955,750	6,835,638	6,840,412	6,933,726	6,955,750	6,835,638	6,840,412	
3 Off-Balance Sheet Items									
a) Letters of credit, guarantees, acceptances	13,709,178	15,527,986	14,110,553	13,931,353	13,709,178	15,527,986	14,110,553	13,931,353	
b) Forwards, swaps and options	7,524,322	8,320,444	5,815,401	1,922,005	7,524,322	8,320,444	5,815,401	1,922,005	
c) Other contingent liabilities	-	-	-	-	-	-	-	-	
d) Total contingent liabilities	21,233,501	23,848,430	19,925,954	15,853,358	21,233,501	23,848,430	19,925,954	15,853,358	
4 Capital strength									
a) Core capital					40,215,401	38,784,104	37,403,665	34,488,460	
b) Minimum Statutory Capital					1,000,000	1,000,000	1,000,000	1,000,000	
c) Excess/(deficiency)					39,215,401	37,784,104	36,403,665	33,488,460	
d) Supplementary capital					19,495,880	19,182,453	19,088,184	14,397,394	
e) Total capital (a+d)					59,711,281	57,966,557	56,491,849	48,885,854	
f) Total risk weighted assets					290,601,549	277,763,095	256,452,945	244,134,863	
g) Core capital/total deposit liabilities					16.1%	16.5%	17.0%	17.1%	
h) Minimum Statutory Ratio					10.5%	10.5%	10.5%	10.5%	
i) Excess/(deficiency)					5.6%	6.0%	6.5%	6.6%	
j) Core capital/total risk weighted assets					13.8%	14.0%	14.6%	14.1%	
k) Minimum Statutory Ratio					10.5%	10.5%	10.5%	10.5%	
l) Excess/(deficiency)(j-k)					3.3%	3.5%	4.1%	3.6%	
m) Total capital/total risk weighted assets					20.5%	20.9%	22.0%	20.0%	
n) Minimum Statutory Ratio					14.5%	14.5%	14.5%	14.5%	
o) Excess/(deficiency)(m-n)					6.0%	6.4%	7.5%	5.5%	
5 Liquidity									
a) Liquidity Ratio					32.9%	39.7%	33.8%	33.1%	
b) Minimum Statutory Ratio					20.0%	20.0%	20.0%	20.0%	
c) Excess/(deficiency)(a-b)					12.9%	19.7%	13.8%	13.1%	